

Global Semiconductor Capital Equipment

China WFE Import Tracker (May 2026): YTD YoY -12%, weakness continues but expect 2H to recover



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We track monthly Wafer Fabrication Equipment (WFE) imports to China through data from China Customs ([link](#)); this call provides an update to the May 2026 data ([excel](#)) and our analysis. May import was \$2.2 billion, -20% MoM and -9% YoY. YTD YoY -12%, still weaker than expected mainly due to Lithography YTD YoY -24%. **We expect 2H import to recover as memory WFE import should be much stronger.**

May single month total WFE imports at USD 2.2bn, lower than last year average of \$3.2bn. May YTD at USD 12bn, YoY -12%. Litho import was USD 297mn, YoY - 2%, recovered from last month's historical low point. Although recovered MoM, Lithography import remained at lower end in history. YTD's weak import was mostly dragged by Lithography due to supply shortage, YTD Litho import was USD 2.14bn, YoY-24%. By region, import from Singapore/Korea showed strong growth, YoY+38%/12%. May import from Singapore + US + Malaysia was USD 1.1bn, YoY-3%, while YTD import was USD 5.3bn, YoY-4%. YTD Shanghai & Beijing import were USD 4.0/3.1bn, as the largest import regions, accounting for 33%/26% share.

May Litho imports of EUR 236Mn were up 171% MoM and 2% YoY. Our regression model estimates that China sales will decline sharply to EUR 0.57bn in Q2, down 52% QoQ and 33% YoY, reflecting weak imports in April and May. This implies that China will represent only 9% of total system sales in Q2. Monthly import data can be lumpy. During Q1 results, ASML reiterated that China revenue is expected to decline to 20% of total revenue in FY26, compared to 33% in FY25. While we believe China demand will remain resilient, supported by strong investment in capacity expansion, we now forecast China revenue to decline in line with guidance, with potential upside to guidance if ASML's capacity of DUV supply improves.

For LRCX, the May data (2-month correlation) suggests Jun-Q China revenues would decrease ~25% QoQ, with China exposure landing at ~23% of total revenues based on consensus revenue estimates. This appears at least directionally consistent with management commentary that China exposure will decline sequentially in the June quarter.

For AMAT, the May data (1-month correlation) suggests Jul-Q China revenues would increase ~28% QoQ, with China exposure landing at ~30% of total revenues based on consensus revenue estimates. We note that management did not give guidance for China revenues in the July quarter, but suggested that their China business would be flattish to slightly up in the calendar year.

Continued on next page

For KLAC, the May data (2-month correlation) suggests Jun-Q China revenues would increase ~22% QoQ, with China exposure landing at ~28% of total revenues based on consensus revenue estimates. Management didn't provide guidance for their China revenue exposure this quarter, but mentioned that overall China WFE will grow at a slower rate than broader WFE this year.

For TEL, our regression suggests TEL's China revenue could be -5% YoY and +5% QoQ. Our 2-month regression implies slight upside to TEL's JunQ revenue, tracking ahead of consensus of +3% QoQ, and an implied China mix of 28% based on consensus estimates.

For Kokusai, our regression suggests their China revenue could be +40% YoY and +69% QoQ. Our 2-month regression implies upside to consensus of +18% QoQ, and an implied China contribution of ~40%.

For Screen, our regression suggests their China revenue could be -32% YoY and -64% QoQ. Our 2-month regression implies downside to consensus of -15% QoQ, and an implied China contribution of ~20%.

For Advantest, Our regression suggests their China revenue is could be +25% YoY and -14% QoQ. Our 2-month regression implies downside to consensus of +3% QoQ, and an implied China contribution of 14%.

BERNSTEIN TICKER TABLE

Ticker	Rating	22 Jun 2026		Price Target	TTM Rel. Perf.	Reported EPS				Reported P/E (x)		
		Cur	Closing Price			Cur	2025A	2026E	2027E	2025A	2026E	2027E
688012.CH (AMEC)	O	CNY	372.74	500.00	163.9%	CNY	3.40	4.95	7.18	109.6	75.4	51.9
002371.CH (NAURA)	O	CNY	745.00	680.00	82.3%	CNY	5.66	10.22	16.41	131.6	72.9	45.4
688072.CH (Piotech)	O	CNY	748.01	580.00	346.1%	CNY	3.32	8.12	12.40	225.3	92.1	60.3
8035.JP (Tokyo Electron)	O	JPY	77,800	59,200	177.7%	JPY	1,250.88	1,504.14	1,848.77	62.2	51.7	42.1
6525.JP (Kokusai)	O	JPY	10,300	8,240.00	169.4%	JPY	128.63	200.23	274.61	80.1	51.4	37.5
7735.JP (Screen)	M	JPY	17,010	12,600	170.0%	JPY	486.61	572.60	662.24	35.0	29.7	25.7
6857.JP (Advantest)	O	JPY	32,170	39,200	180.8%	JPY	534.21	735.65	870.09	60.2	43.7	37.0
AMAT (Applied Materials)	O	USD	617.11	525.00	243.5%	USD	9.42	12.17	15.56	65.5	50.7	39.7
LRCX (Lam Research)	O	USD	389.04	340.00	313.2%	USD	4.14	5.68	7.98	94.0	68.5	48.8
KLAC	O	USD	259.56	197.50	188.9%	USD	3.33	3.69	5.12	78.0	70.3	50.7
ASML (ASML)	O	USD	1,929.68	1,971.00	124.3%	USD	27.95	36.96	53.13	60.2	45.5	31.7
ASML.NA (ASML)	O	EUR	1,655.80	1,700.00	135.9%	EUR	24.72	32.69	46.98	67.0	50.7	35.2
ASIAX			2,048.07									
JPL			2,676.74									
SPX			7,500.58									
EDME			1,578.06									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

AMAT, LRCX, KLAC estimate is Adjusted EPS; AMAT, LRCX, KLAC valuation is Adjusted P/E (x);

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

NAURA (Outperform, CNY 680.00): As the domestic WFE leader, NAURA has the broadest product portfolio covering Deposition (PVD, CVD), Dry Etch (ICP), Thermo Processes, and Cleaning, as well as a more diverse client base covering leading logic, DRAM, NAND players, benefiting from the WFE domestic substitution in China with acceleration share gain.

AMEC (Outperform, CNY 500.00): Primarily focused on Dry Etch (CCP, ICP) with rapid expansion in Deposition (ALD, LPCVD, EPI), commonly perceived as the domestic WFE company with the best technology and widest global recognition, continue to benefit from the WFE domestic substitution in China with acceleration share gain.

Piotech (Outperform, CNY 580.00): Rising domestic WFE vendor primarily focused on Deposition (PECVD, HDPCVD, SACVD, ALD) with expansion in W2W and C2W hybrid bonding equipment for advanced packaging. Piotech has a strong track record of product innovation, which should allow it to benefit from the WFE domestic substitution in China with acceleration share gain.

Tokyo Electron (Outperform, ¥59,200): TEL is the #4 SPE supplier globally and the biggest Japanese SPE supplier with major presence in 6 product segments. It is expected to gain share and expand margins with competitive pricing after yen depreciation.

Kokusai (Outperform, ¥8,240.00): Batch ALD should see more adoption in advanced nodes especially GAA (gate-all-around). The biggest use of batch ALD is in NAND, and NAND capex recovery is accelerating.

Screen (Market-Perform, ¥12,600): Cleaning intensity is not increasing, and the market is competitive with both global rivals (TEL, Lam) and Chinese (ACMR, Naura). Potential upside from panel level packaging is worth watching.

Advantest (Outperform, ¥39,200): Benefits from rising testing intensity for HBM and Blackwell. As the dominant supplier for HBM tester (~65%) and Nvidia AI GPU (100% share), Advantest should be able to lift ASP and margin with product migration, especially with HBM4 in 2025.

AMAT (Outperform, \$525.00): Exposure to key inflections is strong and valuation vs peers remains attractive.

LRCX (Outperform, \$340.00): The company is benefiting from key inflections (GAA, packaging, HBM, NAND upgrades) and CY26/27

commentary seems supportive.

KLAC (Outperform, \$197.50): Amid positive WFE trends KLAC possesses structural growth drivers, a strong and durable competitive position, lower China replacement risk, and disciplined capital allocation, warranting premium valuation, in our view.

ASML (Outperform, EUR 1,700.00): We rate **ASML Outperform** with a PT of €1,700.00 with 3% upside, driven by DRAM capacity growth acceleration and EUV intensity increase in 1c node. ASML is the top pick of EU Semis.

DETAILS

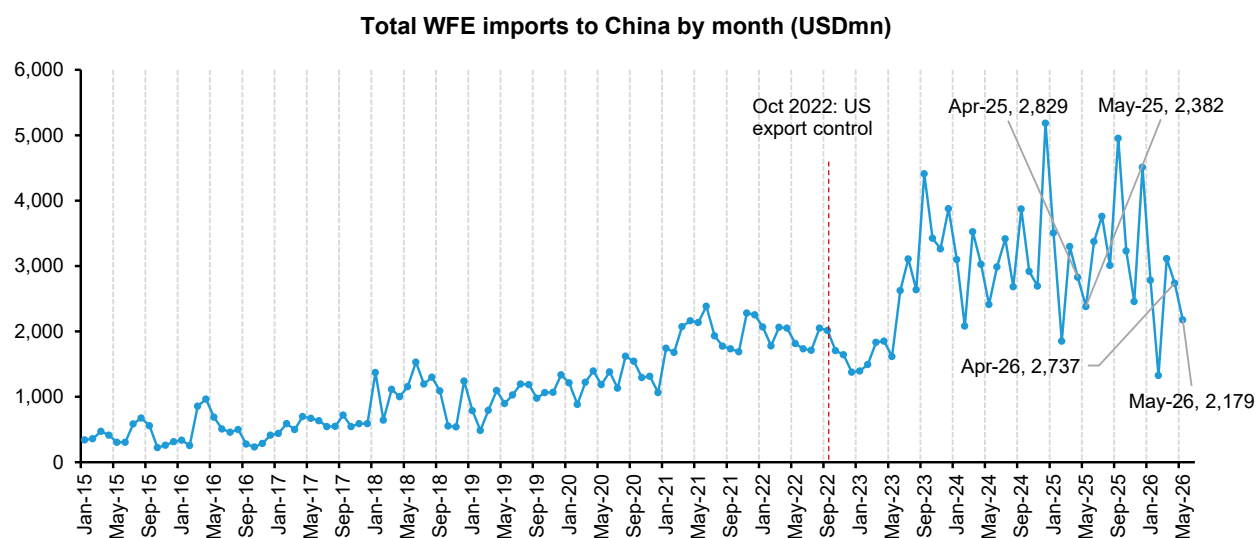
CHINA WFE IMPORT OVERVIEW

China is becoming increasingly important in the global WFE market, and there is intense debate around the sustainability of the demand, tracking the import data to China would provide valuable insights. The China Customs statistics website ([link](#)) provides data on monthly Wafer Fabrication Equipment (WFE) imports to China. This data includes a detailed breakdown by equipment type and region. More details on the data source and analysis methodology are illustrated in the appendix.

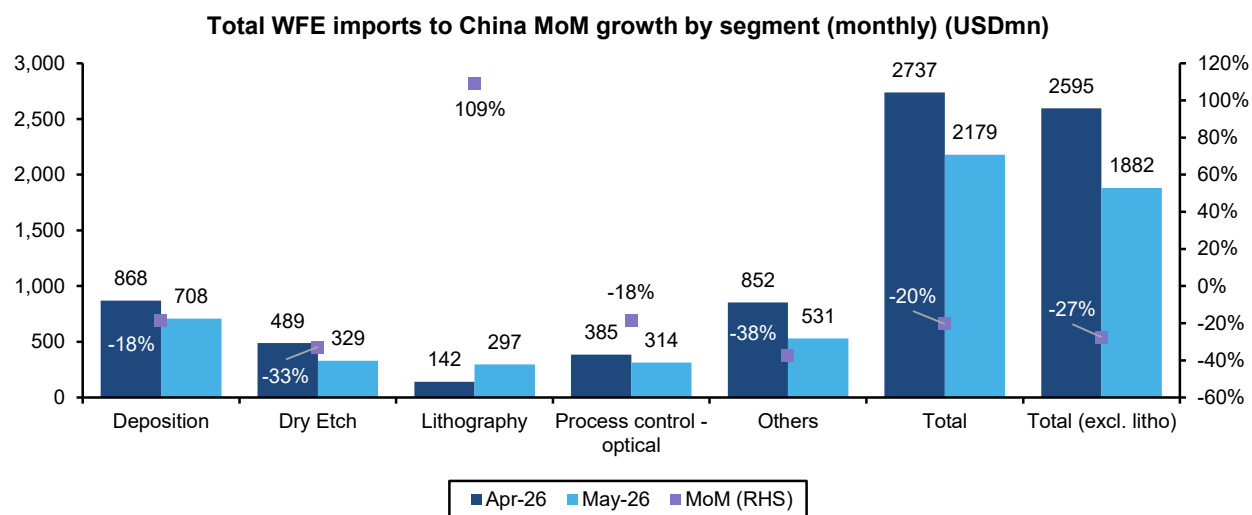
Key statistics for the overall imports are summarized in the below charts:

- **Monthly import data** ([Exhibit 1](#), [Exhibit 2](#), [Exhibit 3](#)): May import was \$2.2bn, lower than last year's average of \$3.2bn/month.
- **By equipment, dry etch and other equipments became the main drags for the May imports with double-digit decline YoY.** While lithography recovered from last month's deep decline and resulted flattish YoY, process control, deposition and process control showed double-digit increase YoY. By equipment and by import region, Singapore, Israel and Austria showed double-digit growth.

EXHIBIT 1: **May import was \$2.2 billion**

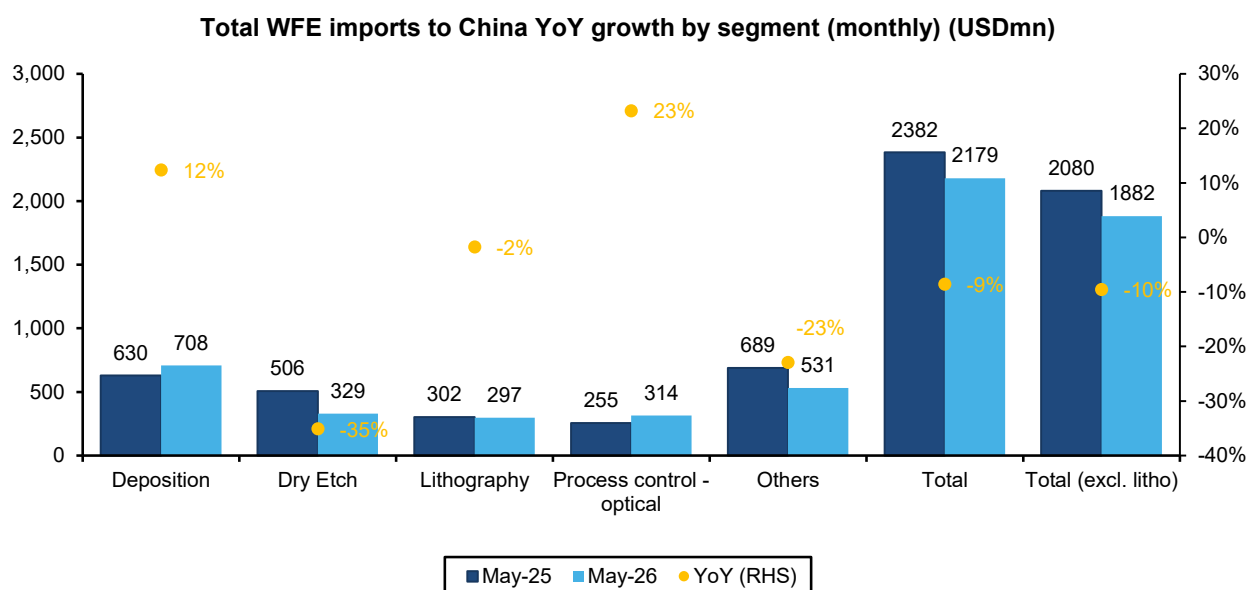


Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 2: **Month-over-month showed 20% decline, mostly dragged down by dry etch and others import.**

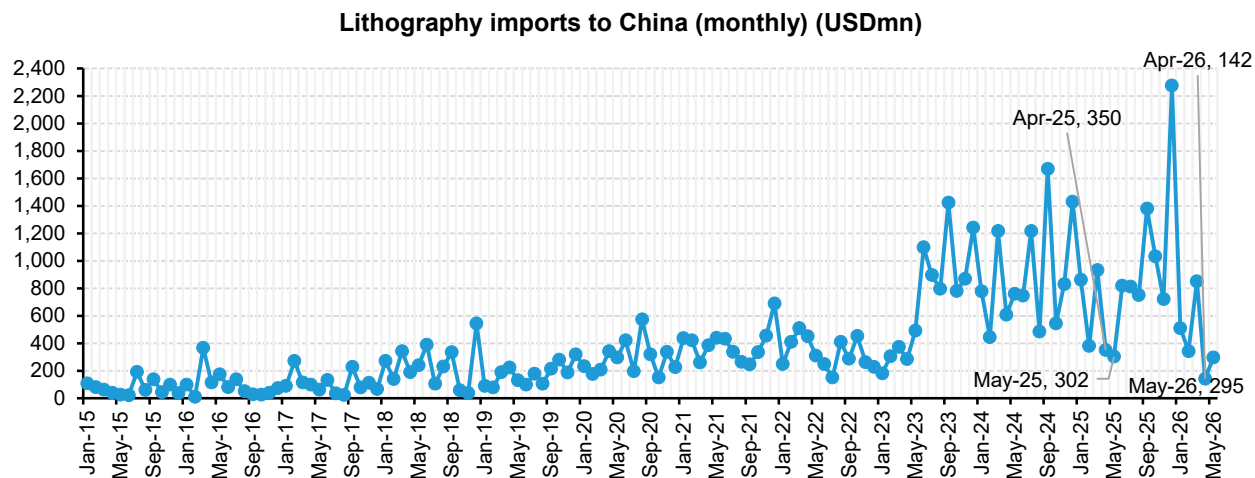
Others include: RTP and Oxidation/Diffusion (84862010), Doping (84862050), and Other equipment used in semiconductor devices or integrated circuits manufacturing (84862090)

Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 3: **The year-over-year figures only show a modest decline, given that weak dry etch and others imports were offset by stronger process control and deposition imports.**

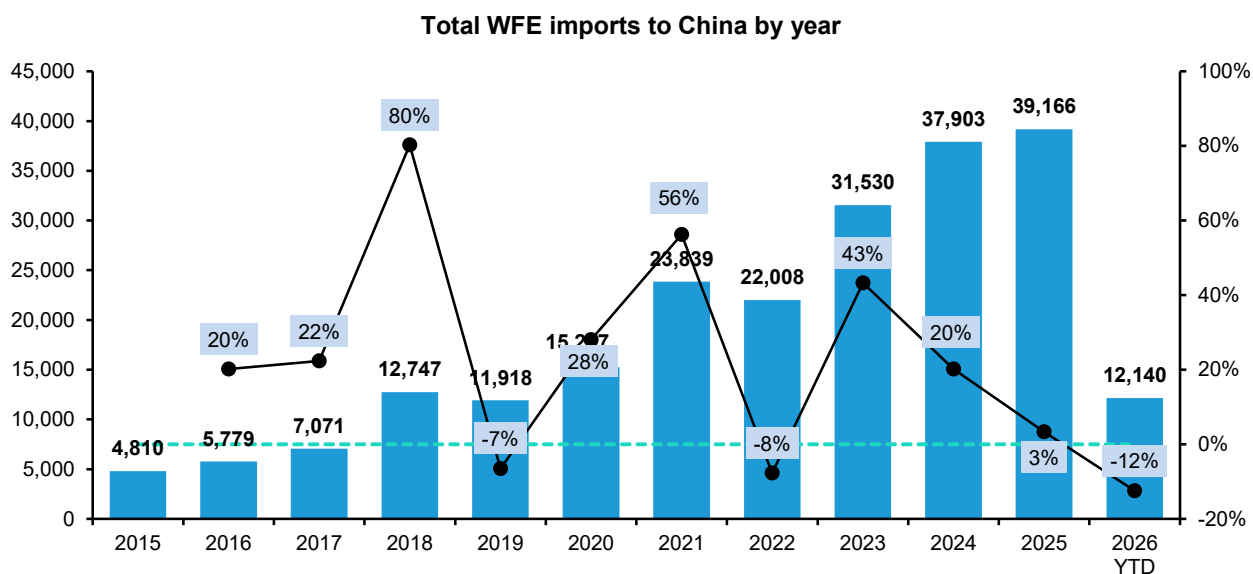
Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 4: The lithography import was \$295mn in May 2026, slightly lower than last year



Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 5: 2026 YTD import -12% YoY



Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

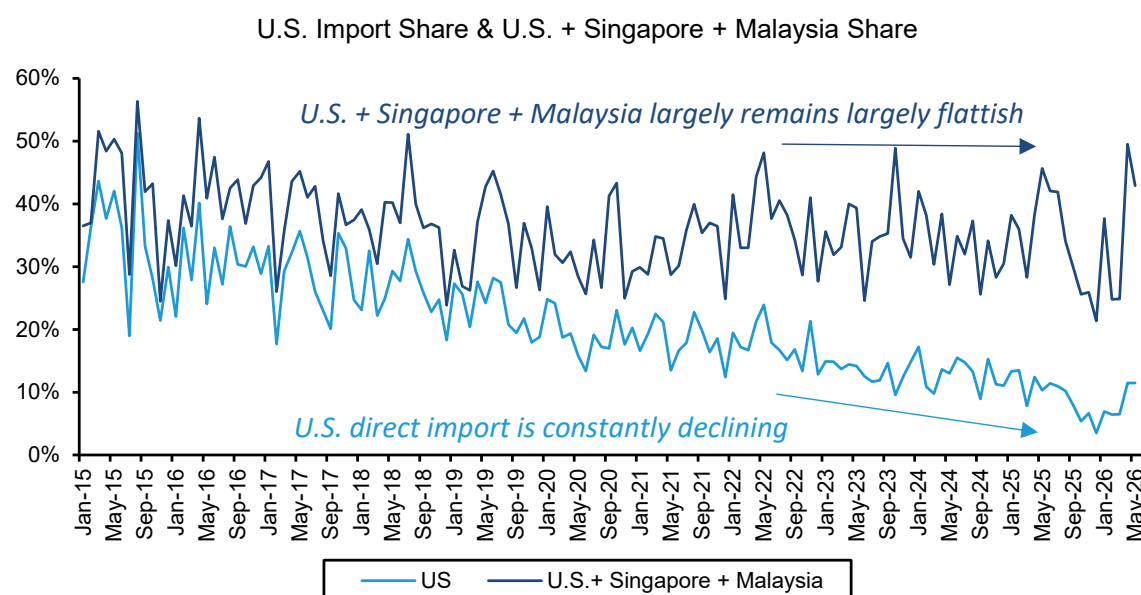
BY REGION & BY EQUIPMENT TYPE SEGMENTATION

From the imports by region breakdown, [Exhibit 7](#) and [Exhibit 8](#) reveal imports from the Netherlands has increased since 2023 due to aggressive lithography imports.

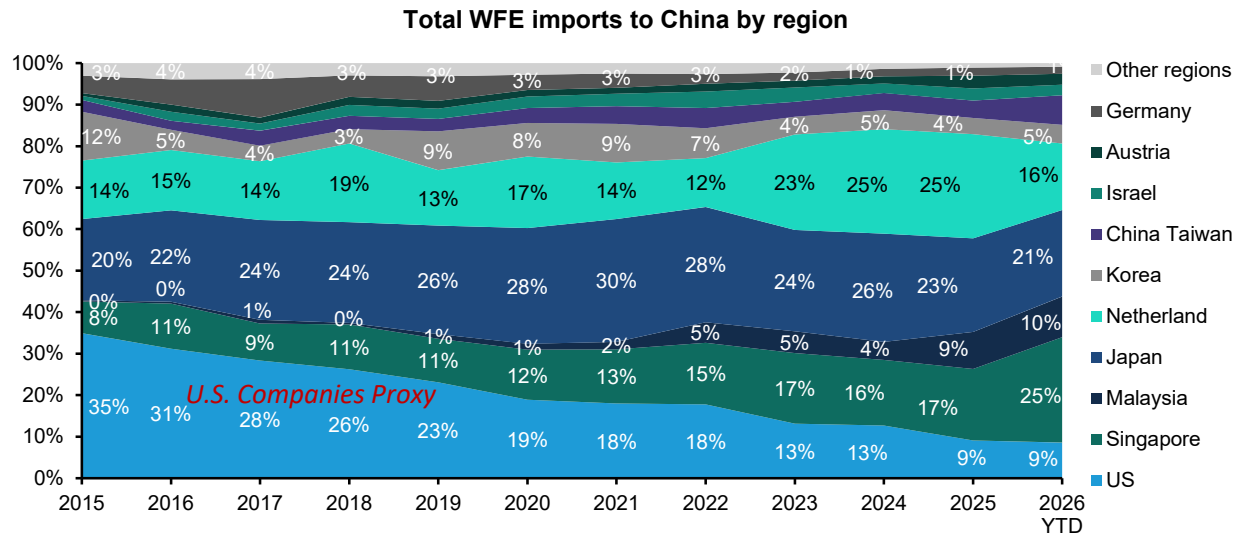
By region, US and SEA imports combined continue to gain share. 2026 YTD US+Malaysia+Singapore import share was 44%, while 2025 US+Malaysia+Singapore import share 35% and 33% in 2024; 2026 YTD Japan import share was 21%, while 2025 Japan import share was 23% and 26% in 2024; 2026 YTD Netherlands import share was 16%, while 25% in both 2025 & 2024.

Excluding lithography, there has been a gradual uptick in imports from Singapore/Malaysia since 2021, coupled with a decrease in imports from the US ([Exhibit 8](#)). This trend is likely influenced by US suppliers opting to ship goods from their Singapore/Malaysia production facilities to China instead of directly from the US manufacturing sites (for example, Applied Materials has a Singapore manufacturing site).

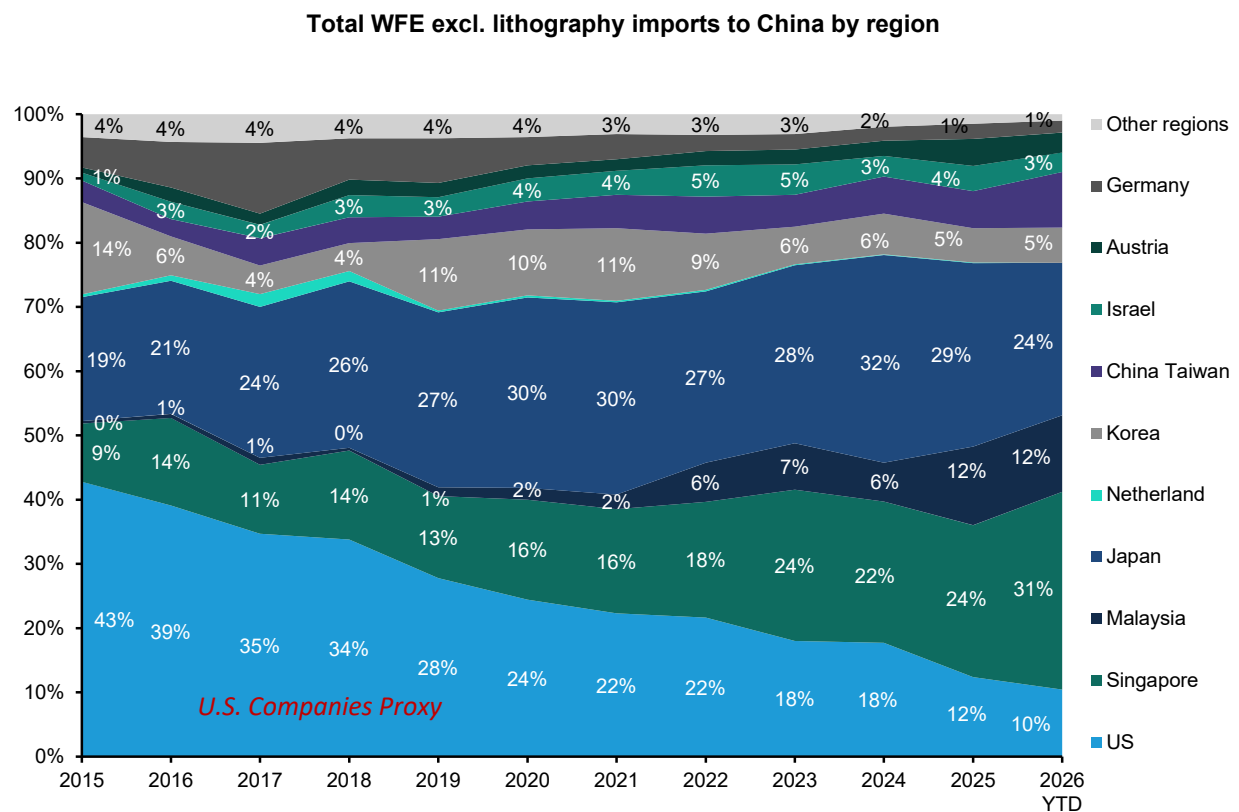
EXHIBIT 6: U.S. import share & U.S. + Singapore + Malaysia import share



Source: China Custom, Bernstein analysis

EXHIBIT 7: **Netherlands' share decreased, Japan was flat, US+Singapore+Malaysia in aggregate grew slightly**

Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

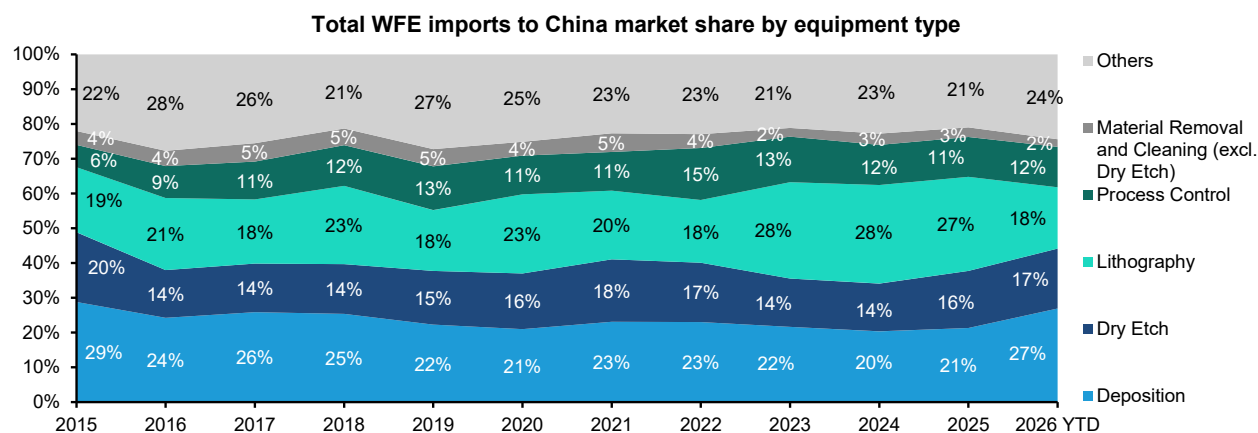
EXHIBIT 8: **Excluding lithography, there has been a gradual uptick in imports from Singapore and Malaysia to offset the share loss for US, indicating a shift in production for US vendors.**

Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

For the imports by equipment type breakdown ([Exhibit 9](#)), Lithography's 2024 share remains high at 28% and is the same as 2023 full-year average (28%). 2025 the share dropped by 1ppt to 27%. In 2026 YTD, the share dropped further to 18%.

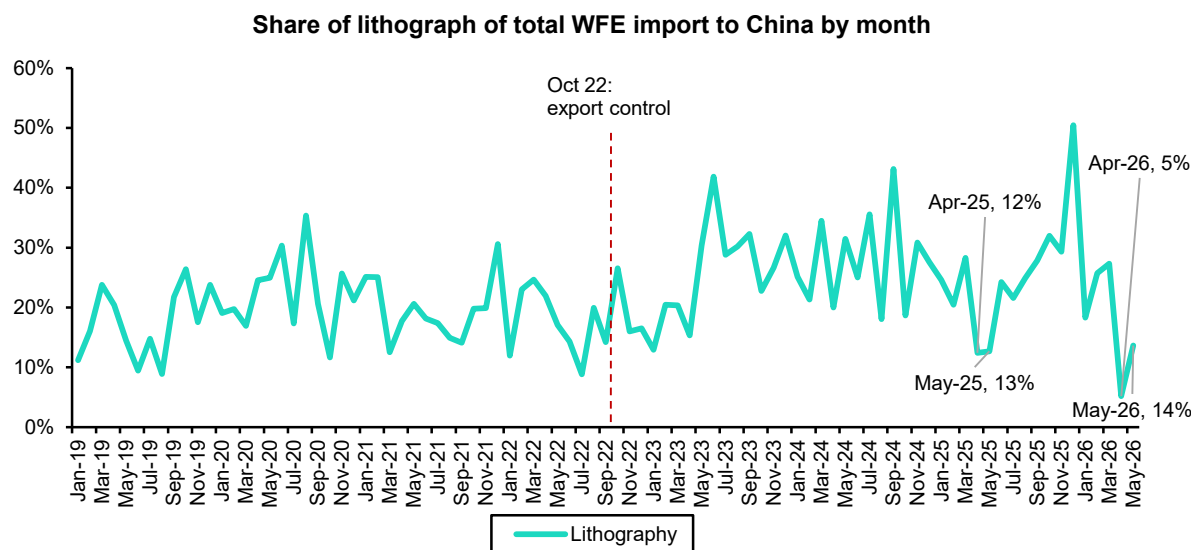
If we further zoom into lithography's monthly import share, it didn't change immediately after Oct 2022 export control, but it took off in June 2023 ([Exhibit 10](#)). By region, the Netherlands's share in lithography imports started to increase in Aug 2023 ([Exhibit 11](#)), and its share gradually expanded over 2024, reaching a record-high level at 94% in July 2024, and Dec 2024 hit another record high at 94%. 2024 hit a record high at 89% ([Exhibit 12](#)). In 2025, the share further grew to 92%, and it slightly dropped 1 ppt in 2026 YTD to 91%.

EXHIBIT 9: In 2025, imported Lithography intensity just slightly dropped by 1ppt, further declined in 2026

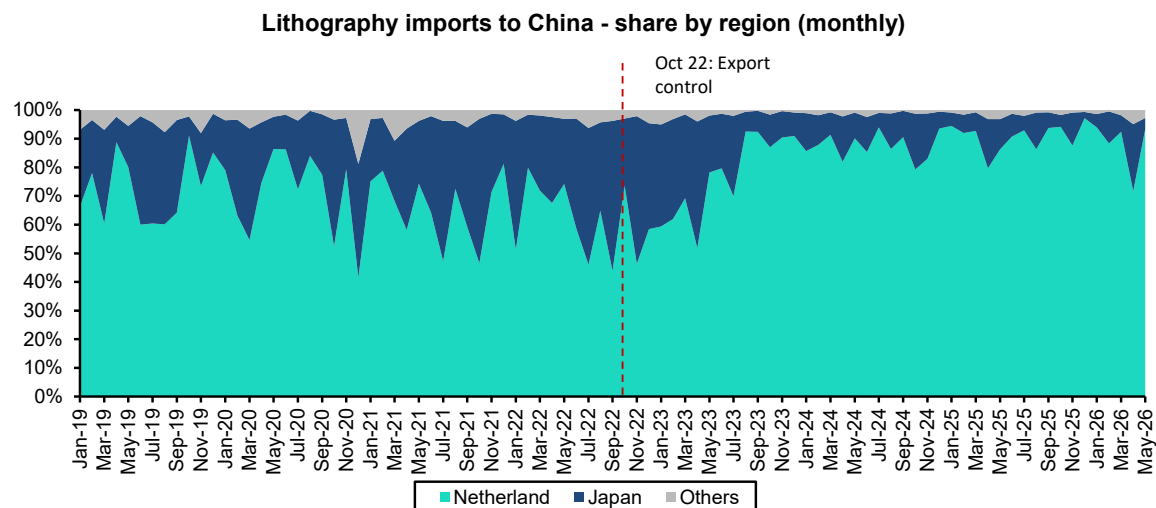


Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

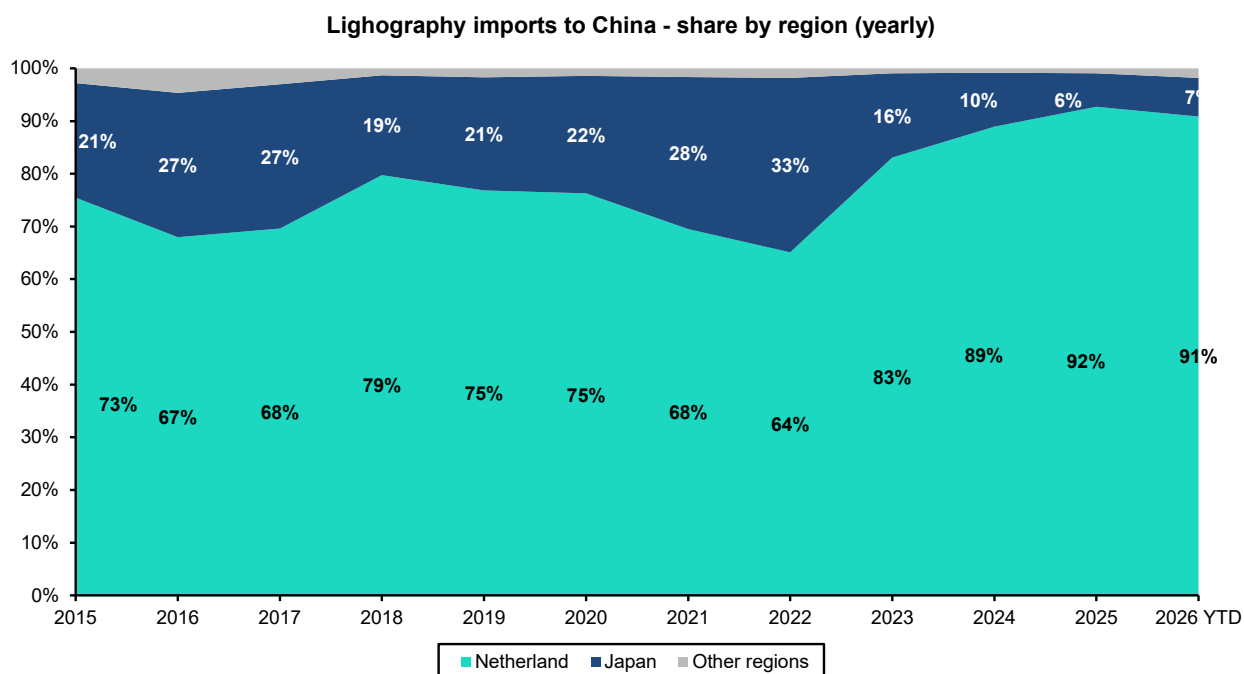
EXHIBIT 10: The share of lithography imports recovered to 14%, remaining at lower end in history



Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 11: Share of lithography imports from Japan has decreased since Aug 2023 and remains relatively low.

Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 12: Netherlands' lithography imports share increased materially after 2022 and is still increasing in 2025 and onwards

Source: General Administration of Customs of the People's Republic of China, Bernstein analysis

REGRESSION ANALYSIS

ASML

May Litho imports of EUR 236Mn were up 171% MoM and 2% YoY. Our regression model, based on 2 months of data, estimates that China sales will decline sharply to EUR 0.57bn in Q2, down 52% QoQ and 33% YoY, reflecting weak imports in April and May. This implies that China will represent only 9% of total system sales in Q2. Monthly import data can be lumpy. During Q1 results, ASML reiterated that China revenue is expected to decline to 20% of total revenue in FY26, compared to 33% in FY25. While we believe China demand will remain resilient, supported by strong investment in capacity expansion, we now forecast China revenue to decline in line with guidance, with potential upside to guidance if ASML's capacity of DUV supply improves.

China lithography import data published on the China Customs statistics website has proven useful in predicting ASML's China systems revenue. Our regression model, using two months of data for a given quarter, has a relatively high R^2 of 0.89, indicating solid predictive power. China's lithography imports in May was EUR 236Mn, up 170% MoM and 2% YoY compared to May 2025 ([Exhibit 13](#)).

Our regression model estimates that China sales will decline sharply to EUR 0.57bn in Q1, down 52% QoQ and 62% YoY, reflecting weak imports in April and May. This implies China revenue representing only 9% of Q2 total system sales, down 10 percentage points sequentially compared to Q1 and 18 percentage points lower than the Q2 2025 level of 27%. During Q1 results, ASML reiterated that China revenue is expected to decline to 20% of total revenue in FY26, compared to 33% in FY25. ([Exhibit 14](#), [Exhibit 15](#), [Exhibit 16](#), [Exhibit 17](#)).

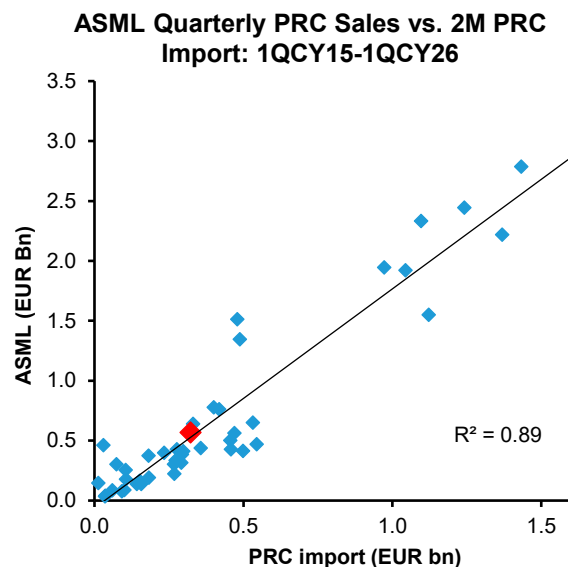
While we believe China demand will remain resilient, supported by strong investment in capacity expansion, we now forecast China revenue to decline in line with guidance, with potential upside to guidance if ASML's capacity of DUV supply improves.

EXHIBIT 13: The correlation between monthly China litho imports and ASML's quarterly China systems revenue (divided by 3) is fairly solid. May imports of EUR 236Mn were up 170% MoM and 2% YoY.



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 14: Our regression yields an R2 of 0.89 indicating robust predictive power using 2 months of data. The implied China revenue for 2Q26 is EUR 0.57bn, due 52% QoQ due to weak litho imports in April and May.



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

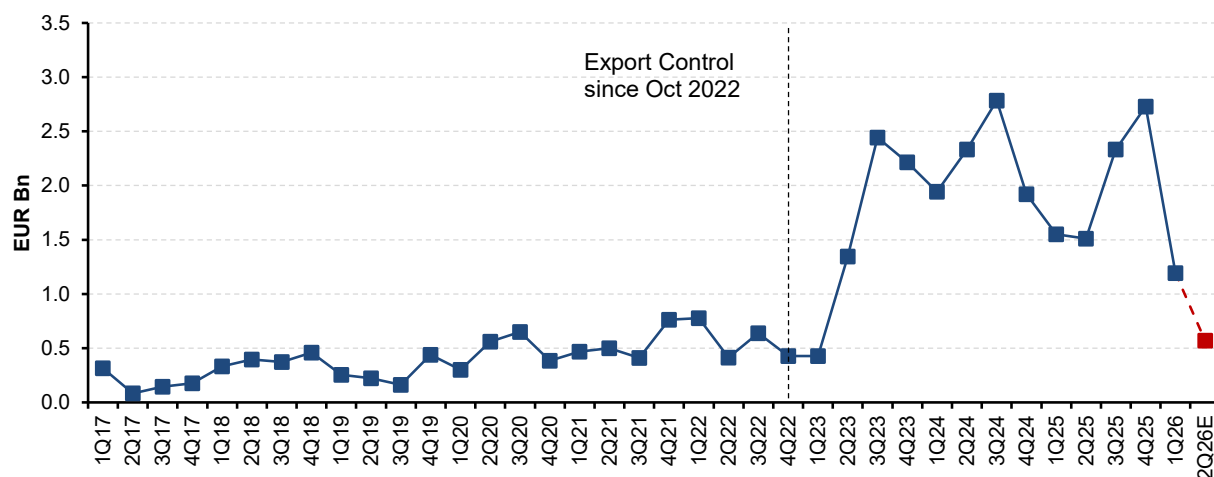
EXHIBIT 15: The predicted systems sales from China at EUR 0.57bn represents a 52% decline QoQ. This implies China revenue representing only 9% of Q2 total system sales.

	Revenue (EUR Mn)			YoY	QoQ
	2QFY25	1QFY26	2QFY26E		
ASML China System Sales	1,511	1,193	568	-62%	-52%
ASML System Sales	5,596	6,279			
Bernstein			6,357	14%	1%
Consensus			6,301	13%	0%
China as % of System Sales	27%	19%			
Bernstein			9%	-18%	-10%
Consensus			9%	-18%	-10%

Source: Company reports, General Administration of Customs of the People's Republic of China, Bloomberg, Bernstein estimates and analysis

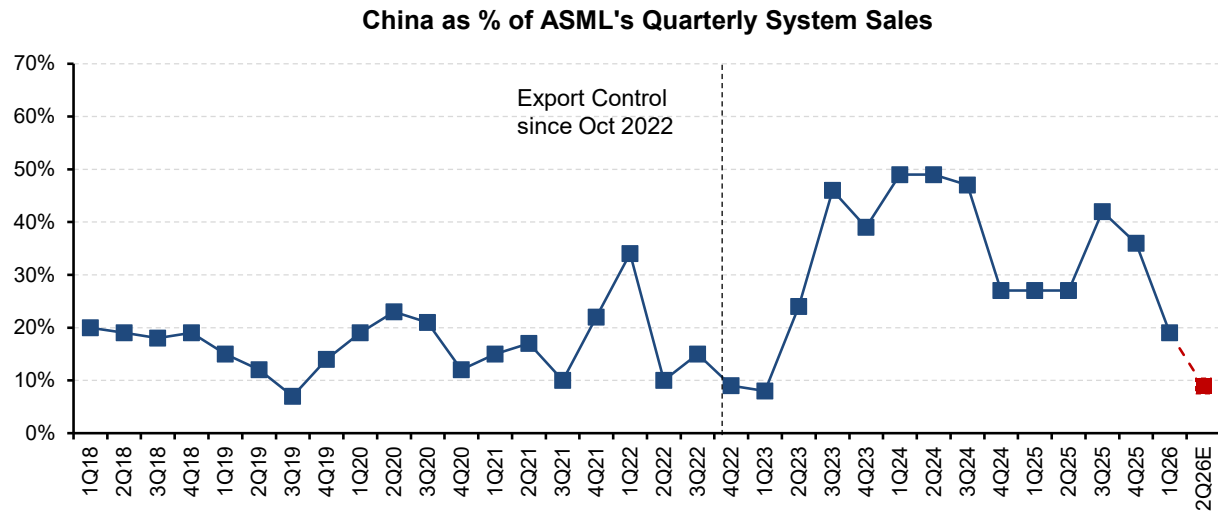
EXHIBIT 16: Our estimate for ASML's China system sales in Q2 implies a 52% QoQ decline and a 62% YoY drop, marking the lowest level since the restrictions were introduced.

ASML China Quarterly System Sales



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 17: **Based on our estimate of ASML's China system sales, we expect China's contribution to decline to 9% of total system sales, the lowest level in over three years.**



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

LAM RESEARCH (LRCX), APPLIED MATERIALS (AMAT), AND KLA CORPORATION (KLAC)

For LRCX, the R^2 on the 2-month correlation is ~0.86 and hence should have solid predicting power. The May data (2-month correlation) suggests Jun-Q China revenues would decrease ~25% QoQ, with China exposure landing at ~23% of total revenues based on consensus revenue estimates (**Exhibit 18, Exhibit 19**). This appears at least directionally consistent with management commentary that China exposure will decline sequentially in the June quarter (**Exhibit 20**).

EXHIBIT 18: **LRCX 2-month regression yields R2 of 0.86 and should have solid predictive power...**

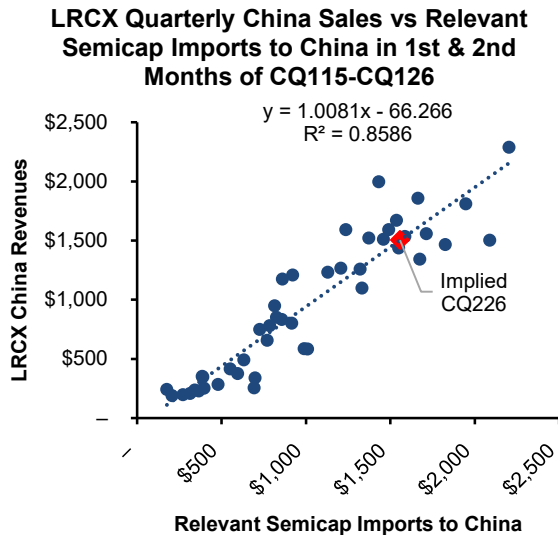


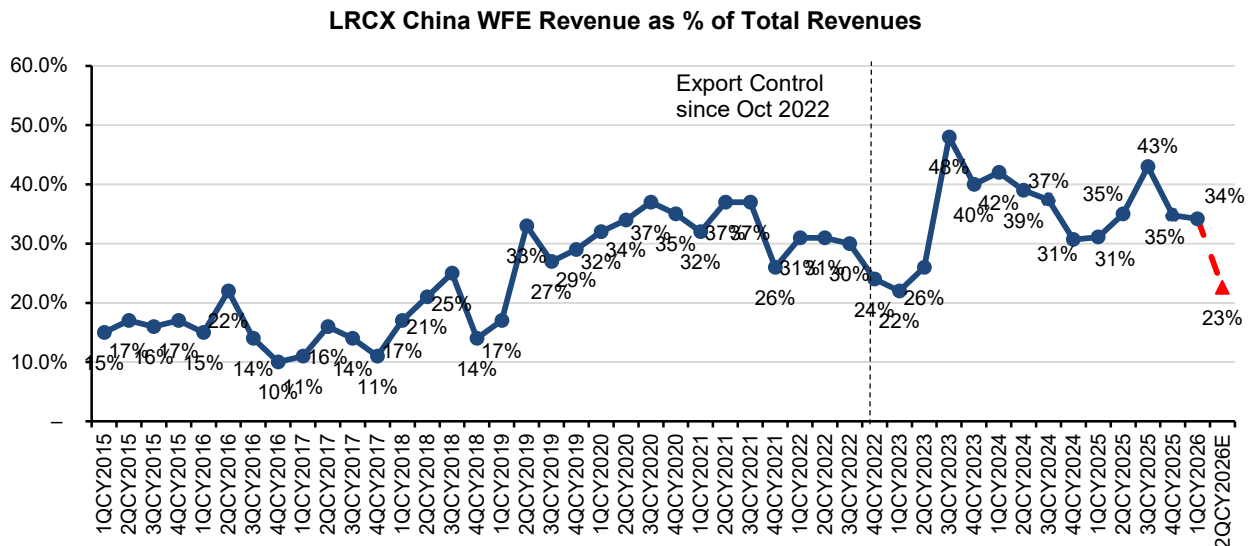
EXHIBIT 19: **...with our analysis suggesting China revenues for LRCX down ~25% sequentially in Jun-Q...**

LRCX	Revenues (\$M, USD)			YoY	QoQ
	2QCY2025	1QCY2026	2QCY2026E		
China Revenues (incl. Predicted Value)	\$1,810	\$1,997	\$1,504	(16.9%)	(24.7%)
Total Revenues (incl. Consensus Estimate)	\$5,171	\$5,841	\$6,659	28.8%	14.0%
China as % of Total	35.0%	34.2%	22.6%		

Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

China semicap imports relevant for LRCX, given their manufacturing footprint, include shipments from the U.S., Malaysia, Korea, Taiwan and Austria
Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 20: **...with overall Jun-Q China exposure predicted at ~23% vs Mar-Q exposure of ~34%**



Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

For AMAT, the R2 on the 1-month correlation is ~0.70 and hence should have OK predicting power. The May data (1-month correlation) suggests Jul-Q China revenues would increase ~28% QoQ, with China exposure landing at ~30% of total revenues based on consensus revenue estimates (**Exhibit 21, Exhibit 22**). We note that management did not give guidance for China revenues in the July quarter, but suggested that their China business would be flattish to slightly up in the calendar year (**Exhibit 23**).

EXHIBIT 21: The AMAT 1-month regression yield R2 of 0.70 and hence should have OK predictive power...

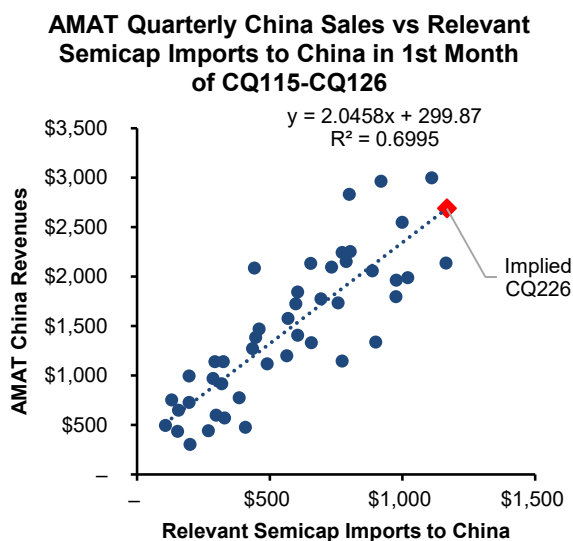


EXHIBIT 22: ...with our analysis suggesting China revenues for AMAT up ~28% sequentially in Jul-Q...

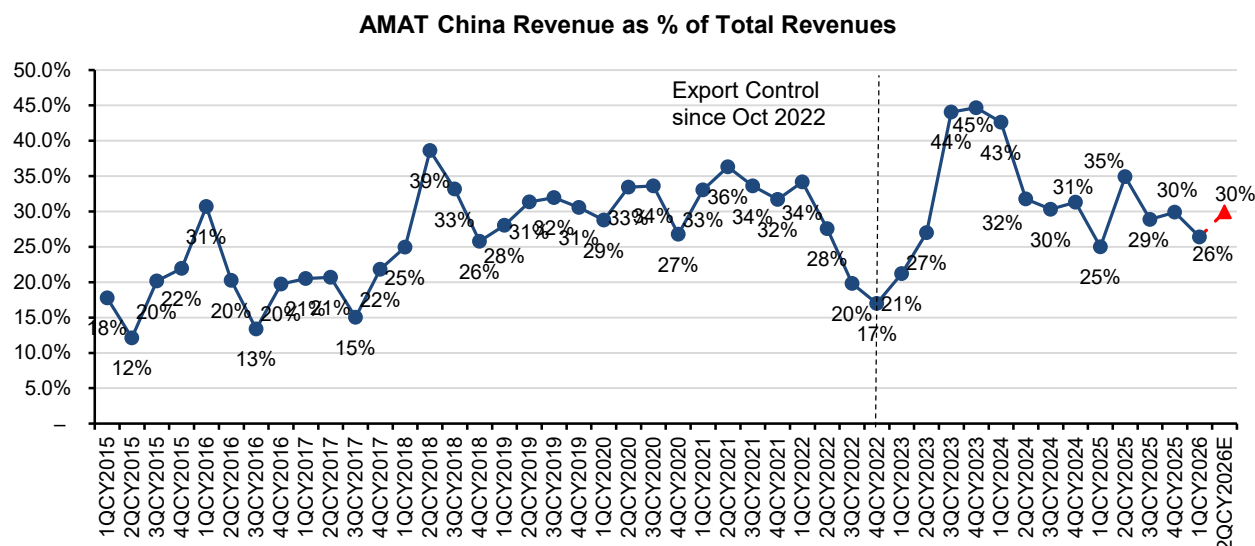
AMAT	Revenues (\$M, USD)			YoY	QoQ
	2QCY2025	1QCY2026	2QCY2026E		
China Revenues (incl. Predicted Value)	\$2,548	\$2,087	\$2,688	5.5%	28.8%
Total Revenues (incl. Consensus Estimate)	\$7,302	\$7,910	\$8,976	22.9%	13.5%
China as % of Total	34.9%	26.4%	29.9%		

Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

Normalized for AMAT Fiscal Quarter's ~1 month offset.

China semicap imports relevant for AMAT, given their manufacturing footprint, include shipments from the U.S., Singapore, Taiwan, Germany, and Israel.
Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 23: ...with overall Jul-Q China exposure predicted at ~30% vs Apr-Q exposure of ~26%



Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

For KLAC, the R^2 on the 2-month correlation is ~0.92 and hence should have good predicting power. The May data (2-month correlation) suggests Jun-Q China revenues would increase ~22% QoQ, with China exposure landing at ~28% of total revenues based on consensus revenue estimates (**Exhibit 24, Exhibit 25**). Management didn't provide guidance for their China revenue exposure this quarter, but mentioned that overall China WFE will grow at a slower rate than broader WFE this year (**Exhibit 26**).

EXHIBIT 24: The KLAC 2-month regression yields R2 of 0.92 and hence should have good predictive power...

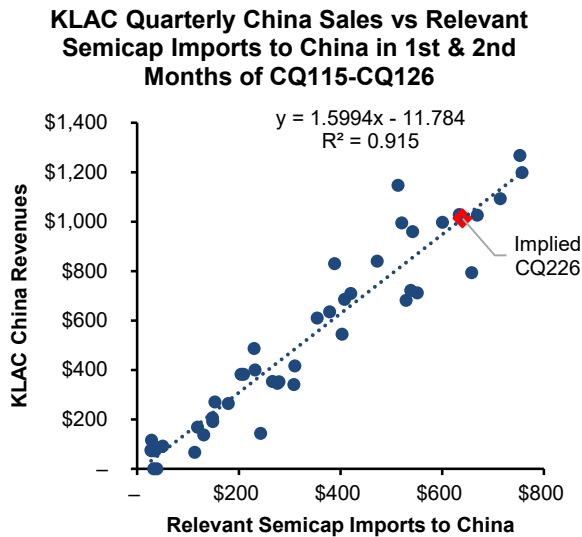


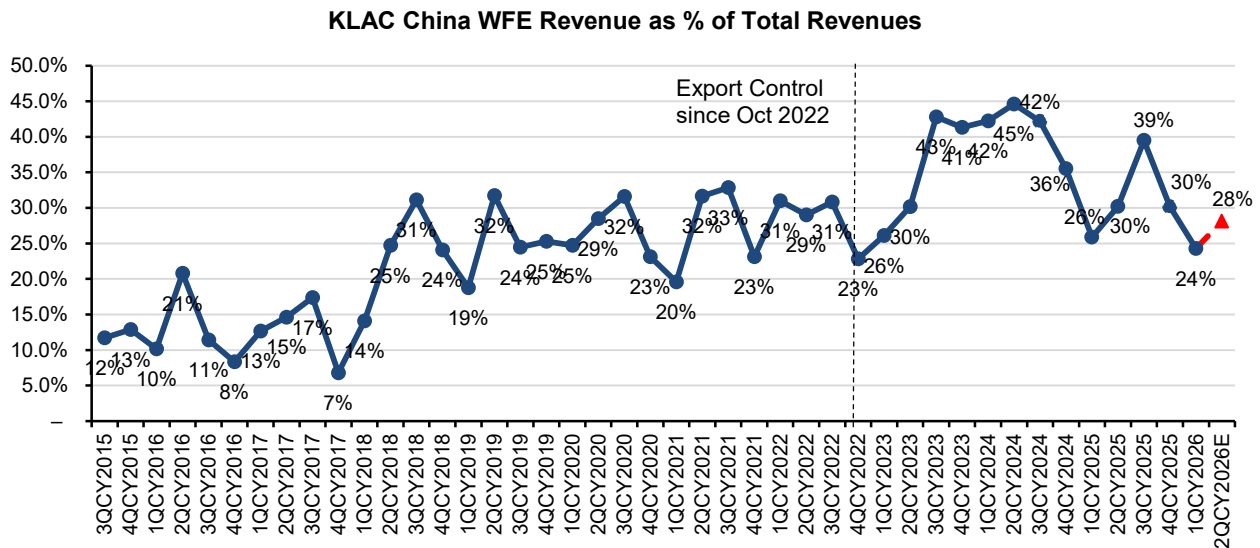
EXHIBIT 25: ...with our analysis suggesting China revenues for KLAC up ~22% sequentially in the Jun-Q...

KLAC	Revenues (\$M, USD)			YoY	QoQ
	2QCY2025	1QCY2026	2QCY2026E		
China Revenues (incl. Predicted Value)	\$959	\$830	\$1,012	5.6%	22.0%
Total Revenues (incl. Consensus Estimate)	\$3,175	\$3,415	\$3,602	13.5%	5.5%
China as % of Total	30.2%	24.3%	28.1%		

Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

China semicap imports relevant for KLAC include global process control tools.
Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 26: ...with overall Jun-Q China exposure predicted at ~28% vs Mar-Q exposure of ~24%

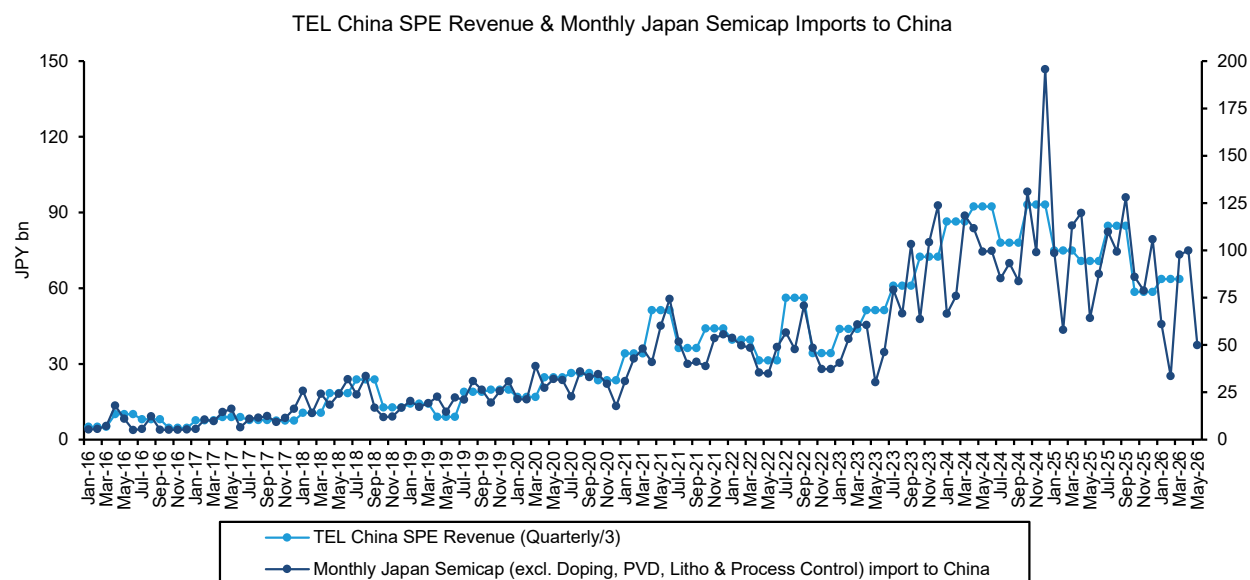


Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

TOKYO ELECTRON (TEL)

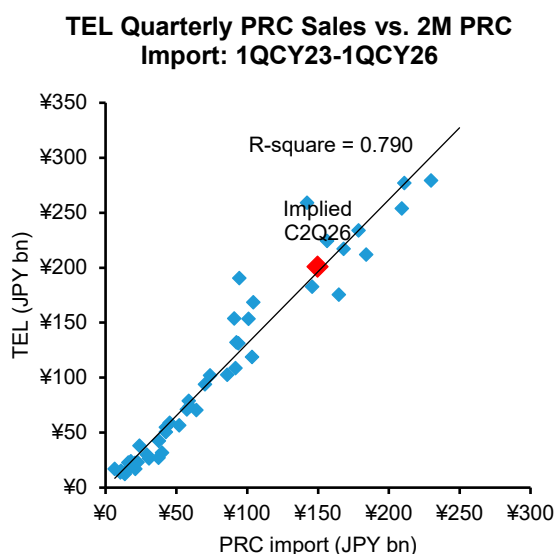
For TEL, the R^2 on the 2-month correlation is ~0.79 and hence should have limited predicting power. May import data suggests China revenues would be +5% QoQ. Based on consensus revenue estimates, China exposure is expected to be ~28% of SPE revenues (Exhibit 27-Exhibit 30).

EXHIBIT 27: There is good correlation between the monthly imports to China and TEL's quarterly SPE revenue from China divided by 3 without a notable time shift between them.



Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bernstein analysis

EXHIBIT 28: China import yields decent correlation with TEL's China revenue.



Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

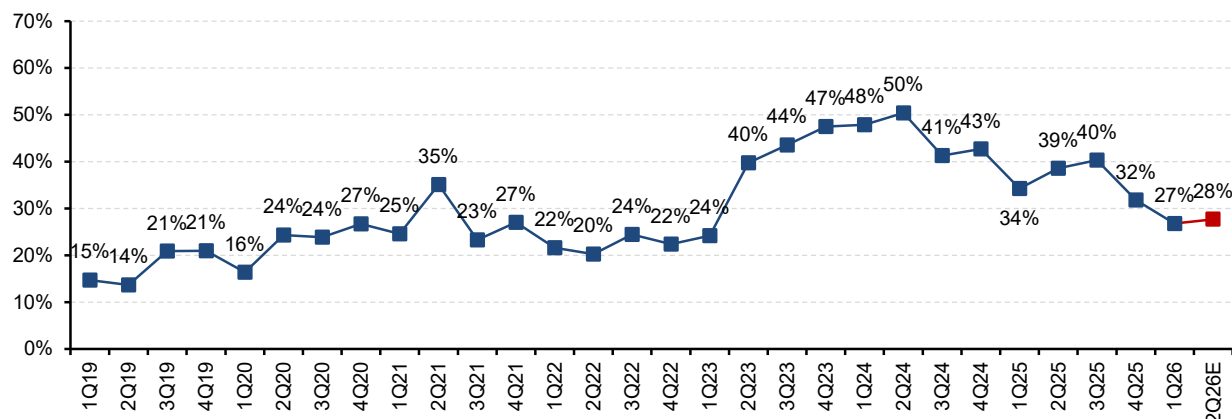
EXHIBIT 29: The regression suggests TEL's revenue from China to be +5% QoQ in JunQ.

	Revenue (JPY B)		QoQ
	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	
China SPE	191	201	5%
Total SPE	703		
Bernstein		756	8%
Consensus		726	3%
China as % of Total SPE Rev	27%		
Bernstein		27%	-1%
Consensus		28%	1%

Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bloomberg, Bernstein estimates and analysis

EXHIBIT 30: ...with implied China exposure of 28% vs MarQ exposure of 27%

China as % of TEL's Quarterly SPE Revenue

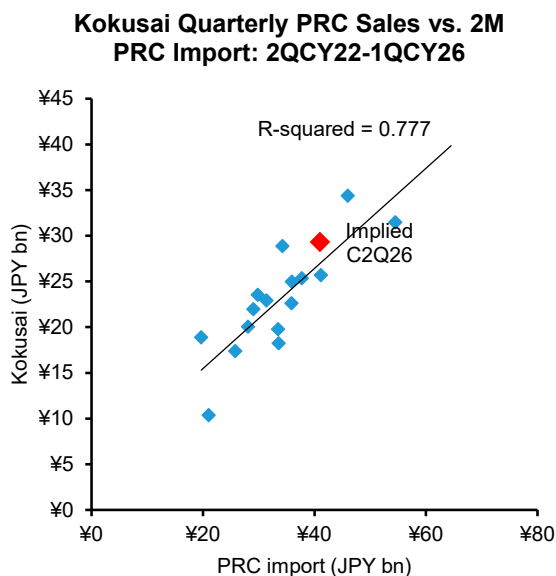


Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bloomberg, Bernstein estimates and analysis

KOKUSAI

For Kokusai, the R^2 on the 2-month correlation is ~0.78 and hence should have decent predicting power. May import data suggests China revenues could be +69% QoQ. Based on consensus revenue estimates, China exposure is implied to jump back to ~40% of total revenues (Exhibit 31-Exhibit 33).

EXHIBIT 31: Kokusai's Quarterly China sales shows decent correlation with monthly import.



Source: Company disclosures, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

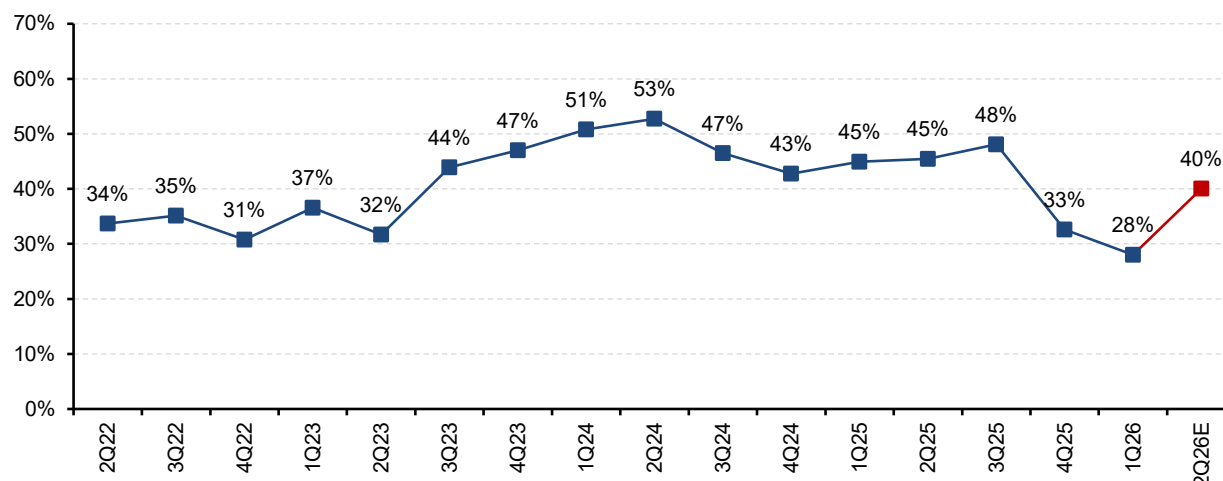
EXHIBIT 32: The regression suggests Kokusai's revenue from China to be +69% QoQ in JunQ.

	Revenue (JPY bn)		QoQ
	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	
PRC Sales	17	29	69%
Total Sales	62		
Bernstein		74	19%
Consensus		73	18%
PRC %	28%		
Bernstein		40%	12%
Consensus		40%	12%

Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 33: ...with implied China exposure at 40% vs MarQ exposure of 28%

China as % of Kokusai's Quarterly SPE Revenue

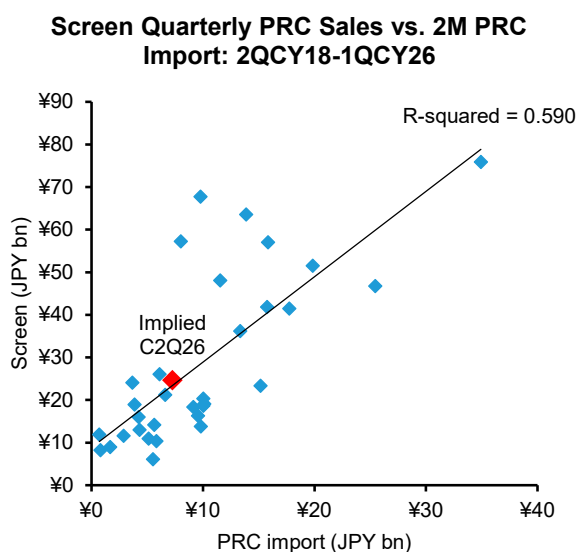


Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

SCREEN

For Screen, the R^2 of the 2-month correlation is ~0.59, indicating some predicative power. The May import data suggests that China revenues could be -64% QoQ. Based on consensus revenue estimates, implied China exposure is expected to be 20% of SPE revenues (Exhibit 34-Exhibit 36).

EXHIBIT 34: Screen's Quarterly China sales shows some correlation with monthly import.



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

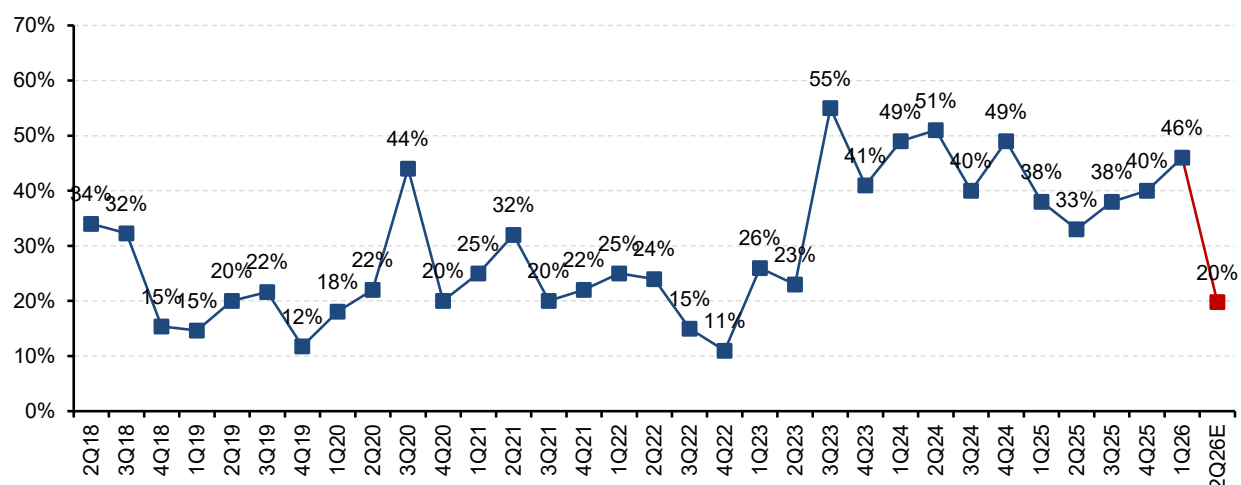
EXHIBIT 35: The regression suggests Screen's revenue from China to be -64% QoQ in JunQ.

	Revenue (JPY bn)		QoQ
	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	
China Sales	68	25	-64%
Total SPE	147		
Bernstein		121	-18%
Consensus		125	-15%
China %	46%		
Bernstein		20%	-26%
Consensus		20%	-26%

Source: Company reports, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 36: ...with overall China exposure predicted at 20% vs MarQ exposure of 46%

China as % of Screen's Quarterly SPE Revenue

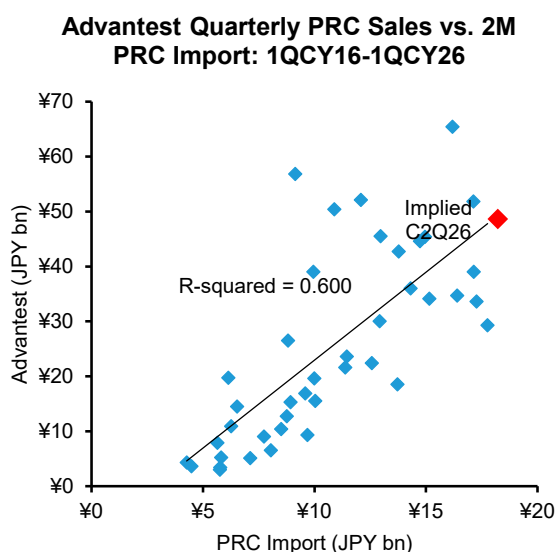


Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

Advantest

For Advantest, the R^2 on the 1-month correlation is ~0.60, indicating some predicting power. April import data suggests China revenues could be -14% QoQ. Based on consensus revenue estimates, China exposure is implied to be dropping to 14%, down from 17% in MarQ. (Exhibit 37)

EXHIBIT 37: Advantest's Quarterly China sales shows decent correlation with monthly import.



Source: Company reports, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

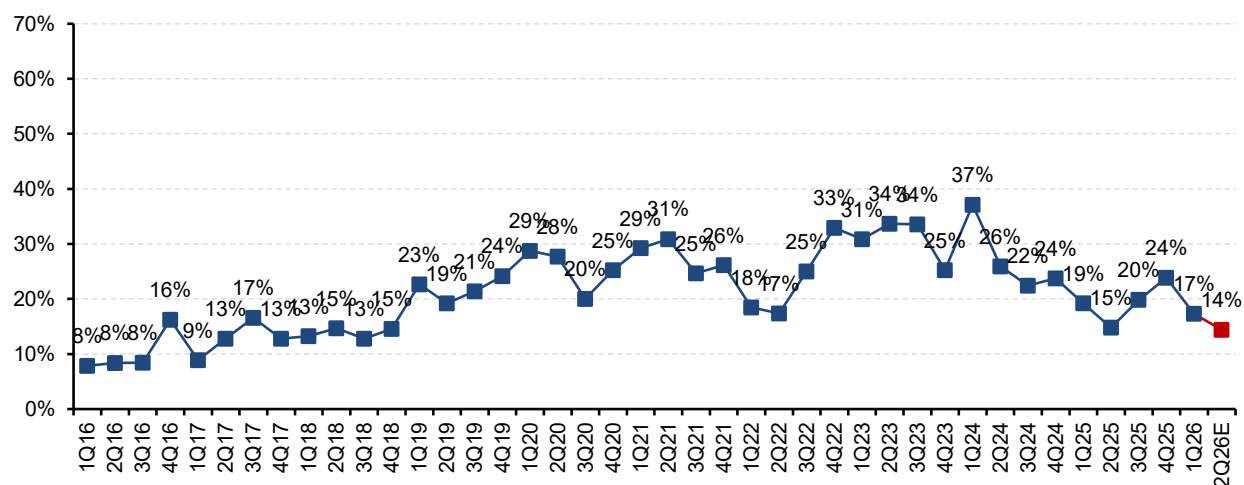
EXHIBIT 38: Our regression suggests Advantest's China sales to be -7% QoQ in MarQ.

	Revenue (JPY bn)		QoQ
	4QFY26 (1QCY26)	1QFY27E (2QCY26E)	
PRC Sales	57	53	-7%
Total Sales	328		
Bernstein		346	5%
Consensus		346	5%
PRC %	17%		
Bernstein		15%	-2%
Consensus		15%	-2%

Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

EXHIBIT 39: ...with overall China exposure predicted at 14% vs MarQ exposure of 17%

China as % of Advantest's Quarterly SPE Revenue



Source: Company disclosures, Bloomberg, General Administration of Customs of the People's Republic of China, Bernstein estimates and analysis

APPENDIX: DATA SOURCE AND ANALYSIS METHODOLOGY

We collected the data from the China Customs statistics website ([link](#)), with two major filters:

Equipment types, including 11 codes:

- 84862010: RTP and Oxidation/Diffusion (制半导体器件或IC的氧化扩散等热处理设备)
- 84862021: Deposition - CVD (制造半导体器件或IC的化学气相沉积装置)
- 84862022: Deposition - PVD (制造半导体器件或IC的物理气相沉积装置)
- 84862029: Deposition - Others (其他制半导体器件或集成电路用薄膜沉积设备)
- 84862031: Lithography - Stepper (制半导体器件或集成电路用的分步重复光刻机), which include the following examples:
 - Steppers (for back-end use), 制造半导体器件或集成电路用分布重复光刻机 (后道用)
 - Front-end krypton fluoride (KrF) stepper 制造半导体器件或集成电路用分布重复光刻机 (前道用氟化氪 (KrF) 光刻机)
 - Front-end i-line stepper 制造半导体器件或集成电路用分布重复光刻机 (前道用I线光刻机)
 - Other steppers 其他制造半导体器件或集成电路用分布重复光刻机
- 84862039: Lithography (excl. stepper) (其他投影绘制电路图的制半导体器件或IC的装置), which include the following examples:
 - ArF lithography (excl. stepper) 制造半导体器件或集成电路用的氟化氪 (ArF) 光刻机 (步进式除外)
 - KrF lithography (excl. stepper) 制造半导体器件或集成电路用的氟化氪 (KrF) 光刻机 (步进式除外)
 - EUV (excl. stepper) 制造半导体器件或集成电路用的极紫外 (EUV) 光刻机 (步进式除外)
 - ArFi lithography (excl. stepper) 制造半导体器件或集成电路用的氟化氪浸没式 (ArFi) 光刻机 (步进式除外)
 - Other lithography 未列名制造半导体器件或集成电路用的光刻设备
 - I-line lithography (excl. stepper) 制造半导体器件或集成电路用的I线光刻机 (步进式除外)
- 84862041: Dry Etch (制造半导体器件或IC的等离子体干法刻蚀机)
- 84862049: Material Removal and Cleaning (excl. Dry Etch) (制造半导体器件或IC的其他刻蚀及剥离设备)
- 84862050: Doping (制造半导体器件或集成电路用的离子注入机)
- 84862090: Other equipment used in semiconductor devices or integrated circuits manufacturing (其他制半导体器件或集成电路用的机器及装置)
- 90314100: Process Control - Optical (full name: Optical instruments and apparatus for testing semiconductor wafers and devices (including integrated circuits) or testing photomasks and gratings when manufacturing semiconductor devices (including integrated circuits) 制造半导体器件 (包括集成电路) 时检测半导体晶圆、器件 (包括集成电路) 或检测光掩膜、光栅用的光学仪器及器具)
- Note that the definition of each equipment type can't be strictly mapped to Gartner's categorization; for example, we believe CMP is classified into others in this dataset, while it's a separate category in Gartner's definition.

- Material removal & cleaning category here excludes dry etch equipment (even though dry etch equipment is a type of material removal equipment categorized by Gartner).
- Process Control equipment mainly includes two types: electronic beam and optical; the category 90314100 here only includes optical equipment.

Trading Partners by region, including 10 codes:

- 309: Netherland
- 502: United States
- 116: Japan
- 133: Korea
- 143: China Taiwan
- 132: Singapore
- 304: Germany
- 115: Israel
- 315: Austria
- 122: Malaysia
- LRCX has manufacturing sites in Austria, Korea, Malaysia, China Taiwan, and United States (refer to <https://www.lamresearch.com/company/locations>).
- AMAT has volume manufacturing facilities in the United States, and Singapore, with additional manufacturing facilities in Germany, Israel, Italy, Korea, China Taiwan and the United States (refer to <https://www.appliedmaterials.com/us/en/about/manufacturing.html>).

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